TOWARDS INCLUSIVE DEVELOPMENT AND INSTITUTIONAL REFORM

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South Africa's G20 presidency in a challenging global context

As the G20 president, South Africa stands at a defining moment, ready to shape global dialogues and policies. This is because its presidency occurs while the global community is confronted with climate change, underdevelopment, inequality, poverty, hunger, unemployment, technological advancements, and geopolitical instability, as alluded to by the President of South Africa. During the launch of the Special Edition of the Sustainable Development Goals (SDGs) Progress Report on 25 April 2023, the UN Secretary-General, Antonio Guterres, expressed his concern that merely 12% of the SDG targets are presently on course, with around 50% requiring more significant advancement, and over 30% of the SDGs having either stagnated or regressed.

The outlook for global economic growth remains subdued, and many economies carry the burden of unsustainable levels of debt. This thus put pressure on SA to use its G20 presidency to promote a paradigm shift and hasten the implementation of practical solutions. Part of the paradigm shift requires the G20 countries to situate inequities at the centre of economic policymaking. This necessitates a call to action towards inclusive development and institutional reform.

Inclusive development in the G20 is a broad agenda focused on ensuring that economic growth benefits all segments of society, particularly the most vulnerable, by addressing inequalities in income, opportunity, and welfare. A move towards inclusive development, rightly put, includes promoting inclusive business models, strengthening social protection, advancing gender equality, and fostering sustainable and equitable development through policy and collaborative action across public and private sectors. It speaks of advancing institutional reforms that include efforts to close the gender pay gap, increase women's representation in leadership, expand access to finance for women entrepreneurs, and require gender-disaggregated data in budgets.

Advancing inclusive development and institutional reform

Inclusive development within the G20 is driven by plans to create more equitable global systems through initiatives like the Global Public Investment (GPI) framework and the Inclusive Business Framework. These plans aim to address global inequalities, support sustainable development and empower marginalised groups through specific policies on finance, education, and social protection. The G20 is pursuing inclusive development through institutional reforms aimed at addressing inequality and promoting sustainable development, with a special emphasis on youth and gender empowerment, social protection, and infrastructure development. Key institutional reforms include reforming fiscal frameworks to support long-term investment, enhancing the role of private finance and making multilateral institutions inclusive and more representative.



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Driving global change and sustainable progress

The country's G20 presidency brings about a strategic opportunity to enact significant global change, calling for action towards inclusive and just development while promoting institutional reforms. By leveraging diverse global perspectives and regional insights, SA is uniquely positioned to advocate for policies that tackle immediate challenges while also forging paths towards sustainable and inclusive development.

The G20's significance in laying the groundwork for global economic stability, serving as a vital catalyst for economic development, and carrying out major global pledges such as the Pact for the Future and the 2030 Agenda for Sustainable Progress cannot be overstated. It is expected that South Africa will take advantage of its G20 presidency to adopt global best practices for inclusive economic recovery, climate change resilience, and health system strengthening. This will be realised by drawing inspiration from Indonesia, India, Brazil, and insights from the United Nations Summit of the Future.